

In the Wright Aeronautical example, the earlier situation presented a set of facts which demonstrated that the business was worth substantially more than \$8 per share, or \$1,800,000. In the later year, the facts were equally conclusive that the business did not have a reasonable value of \$280 per share, or \$70,000,000 in all. It would have been difficult for the analyst to determine whether Wright Aeronautical was actually worth \$20 or \$40 a share in 1922—or actually worth \$50 or \$80 in 1929. But fortunately it was not necessary to decide these points in order to conclude that the shares were attractive at \$8 and unattractive, intrinsically, at \$280.

The J. I. Case example illustrates the far more typical common-stock situation, in which the analyst cannot reach a dependable conclusion as to the relation of intrinsic value to market price. But even here, *if the price had been low or high enough*, a conclusion might have been warranted. To express the uncertainty of the picture, we might say that it was difficult to determine in early 1933 whether the intrinsic value of Case common was nearer \$30 or \$130. Yet if the stock had been selling at as low as \$10, the analyst would undoubtedly have been justified in declaring that it was worth more than the market price.

Flexibility of the Concept of Intrinsic Value. This should indicate how flexible is the concept of intrinsic value as applied to security analysis. Our notion of the intrinsic value may be more or less distinct, depending on the particular case. The degree of indistinctness may be expressed by a very hypothetical “range of approximate value,” which would grow wider as the uncertainty of the picture increased, e.g., \$20 to \$40 for Wright Aeronautical in 1922 as against \$30 to \$130 for Case in 1933. It would follow that even a very indefinite idea of the intrinsic value may still justify a conclusion if the current price falls far outside either the maximum or minimum appraisal.

More Definite Concept in Special Cases. The Interborough Rapid Transit example permits a more precise line of reasoning than any of the others. Here a given market price for the 5% bonds results in a very definite valuation for the 7% notes. If it were certain that the collateral securing the notes would be acquired for and distributed to the note holders, then the mathematical relationship—*viz.*, \$1,736 of value for the 7s against \$1,000 of value for the 5s—would eventually be established at this ratio in the market. But because of quasi-political complications in the